FINANCIAL STATEMENTS

Hiscox Insurance Company (Bermuda) Limited
Year Ended 31 December 2024
With Independent Auditor's Report

Hiscox Insurance Company (Bermuda) Limited

Financial Statements

Year Ended 31 December 2024

Contents

Report of the Independent Auditor	1
Statement of Financial Position	4
Statement of Income and Comprehensive Income	5
Statement of Changes in Shareholder's Equity	6
Statement of Cash Flows	7
Notes to the Financial Statements	8

Independent auditor's report

To the Board of Directors and Shareholder of Hiscox Insurance Company (Bermuda) Limited

Our opinion

In our opinion, the financial statements present fairly, in all material respects, the financial position of Hiscox Insurance Company (Bermuda) Limited (the Company) as at 31 December 2024, and its financial performance and its cash flows for the year then ended in accordance with IFRS Accounting Standards.

What we have audited

The Company's financial statements comprise:

- the statement of financial position as at 31 December 2024;
- the statement of income and comprehensive income for the year then ended;
- the statements of changes in shareholder's equity for the year then ended;
- the statements of cash flows for the year then ended; and
- the notes to the financial statements, comprising material accounting policy information and other explanatory information.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Company in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards) issued by the International Ethics Standards Board for Accountants (IESBA Code) and the ethical requirements of the Chartered Professional Accountants of Bermuda Rules of Professional Conduct (CPA Bermuda Rules) that are relevant to our audit of the financial statements in Bermuda. We have fulfilled our other ethical responsibilities in accordance with the IESBA Code and the ethical requirements of the CPA Bermuda Rules.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRS Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

PricewaterhouseCoopers Ltd.

Chartered Professional Accountants

Hamilton, Bermuda

29 April 2025

Hiscox Insurance Company (Bermuda) Limited
Statement of Financial Position

As of 31 December 2024
(expressed in thousands of U.S. dollars, except per share and share amounts)

	2024	2023
	$000	$000
Assets		
Cash and cash equivalents (Note 5)	490,213	461,213
Financial assets carried at fair value (Notes 8 and 12)	1,589,727	1,693,826
Reinsurance contract held assets (Note 7)	521,668	653,859
Deferred tax assets (Note 11)	151,900	150,000
Loans and other receivables (Note 9)	88,896	128,466
Total assets	2,842,404	3,087,364
Liabilities		
Insurance contract liabilities (Note 7)	1,035,221	1,326,257
Trade and other payables (Note 10)	20,974	26,100
Total liabilities	1,056,195	1,352,357
Shareholder's equity		
Common shares (par value $1.00; authorised, issued and fully paid, 100,000,000)	100,000	100,000
Contributed surplus	1,103,280	1,103,280
Retained earnings	582,929	531,727
Total shareholder's equity	1,786,209	1,735,007
Total liabilities and shareholder's equity	2,842,404	3,087,364

The accompanying notes are an integral part of the financial statements

Signed on behalf of the Board:

Director

Director

Hiscox Insurance Company (Bermuda) Limited
Statement of Income and Comprehensive Income

Year Ended 31 December 2024
(expressed in thousands of U.S. dollars)

	2024	2023
	$000	$000
Insurance revenue	1,657,058	1,629,815
Insurance service expenses	(699,750)	(713,269)
Insurance service result before reinsurance contracts held	957,308	916,546
Allocation of reinsurance premiums	(440,751)	(470,389)
Amounts recoverable from reinsurers for incurred claims	(88,148)	4,440
Net expense from reinsurance contracts held	(528,899)	(465,949)
Insurance service result	428,409	450,597
Investment result (Note 6)	104,382	116,509
Net finance expense from insurance contracts	(101,891)	(101,097)
Net finance income from reinsurance contracts	21,307	26,192
Net insurance finance expense	(80,584)	(74,905)
Net insurance and investment result	452,207	492,201
Other income	250	750
Other operational expenses	(5,340)	(3,362)
Net foreign exchange (loss) / gain	(6,054)	962
Other finance costs	(1,884)	(1,204)
Profit before tax	439,179	489,347
Tax credit	1,900	150,000
Total income and comprehensive income for the year	441,079	639,347

The accompanying notes are an integral part of the financial statements.

Hiscox Insurance Company (Bermuda) Limited
Statement of Changes in Shareholder's Equity

Year to 31 December 2024
(expressed in thousands of U.S. dollars, except share amounts)

	2024	2023
	$000	$000
Common Shares		
Balance, beginning and end of year (No of Shares)	100,000,000	100,000,000
Common Shares (Note 15)		
Balance, beginning and end of year	100,000	100,000
Contributed surplus		
Balance, beginning of year	1,103,280	1,103,280
Balance, end of year	1,103,280	1,103,280
Retained earnings (Note 15)		
Balance, beginning of year	531,727	167,842
Net income	441,079	639,347
Dividends declared	(389,877)	(275,462)
Balance, end of year	582,929	531,727
Total shareholder's equity	1,786,209	1,735,007

The accompanying notes are an integral part of the financial statements.

Hiscox Insurance Company (Bermuda) Limited
Statement of Cash Flows

Year Ended 31 December 2024
(expressed in thousands of U.S. dollars)

	2024	2023
	$000	$000
Operating activities		
Net income	441,079	639,347
Adjustments to reconcile net income to net cash provided by operating activities:		
Tax credit from deferred tax asset	(1,900)	(150,00)
Share compensation expense	6,397	5,265
Investment income	(94,655)	(88,643)
Unrealised losses (gains) on foreign exchange	9,347	(1,495)
Net fair value gains on financial assets	(20,076)	(36,371)
Changes in operational assets and liabilities:		
Financial assets carried at fair value	212,073	77,722
Loans and receivables	34,303	(38,465)
Reinsurance contract held assets	132,844	299,593
Insurance contract liabilities	(283,249)	(468,180)
Trade and other payables	(5,330)	6,635
Net cash provided by operating activities	430,833	245,408
Financing activities		
Dividends paid	(389,877)	(275,462)
Net cash used in financing activities	(389,877)	(275,462)
Net change in cash and cash equivalents	40,956	(30,054)
Cash and cash equivalents, beginning of year	461,213	484,677
Effect of exchange rate movements on cash	(11,956)	6,590
Cash and cash equivalents, end of year	490,213	461,213

The accompanying notes are an integral part of the financial statements.

1 Company Information

Hiscox Insurance Company (Bermuda) Limited (the "Company") was incorporated under the laws of Bermuda on 21 October 2005. The Company is a global provider of property catastrophe and specialty reinsurance coverage to both third party and affiliate insurers and reinsurers. The Company is registered as a Class 4 insurer under The Insurance Act 1978 (Bermuda) and is a wholly owned subsidiary of Hiscox Ltd (the "Parent" or "Group"), a company incorporated in Bermuda and publicly traded on the London Stock Exchange. The Company's registered office is 96 Pitts Bay Road Pembroke, Bermuda.

2 Basis of preparation

2.1 Statement of compliance

These financial statements are prepared in accordance with IFRS® Accounting Standards' ("IFRS") as issued and adopted by the International Accounting Standards Board ("IASB"). These financial statements were examined and authorised by the Board of Directors and adopted at the meeting of the Board of Directors ("the Board") held on 22 April 2025. The Board has the power to amend these financial statements subsequent to issuance.

2.2 Basis of preparation

The financial statements have been prepared on a going concern basis.

In adopting the going concern basis, the Board has reviewed the current and forecast solvency and liquidity positions for the next 12 months and beyond. As part of the consideration of the appropriateness of adopting the going concern basis, the Board uses scenario analysis and stress testing to assess the robustness of the entity's solvency and liquidity positions. In undertaking this analysis, no material uncertainty in relation to going concern has been identified. This is due to the strong capital and liquidity positions, which provide considerable resilience to the scenarios and stresses, underpinned by the Company's approach to risk management which is described in Note 4. After making enquiries, the Board has a reasonable expectation that the Company has adequate resources to continue in operational existence over a period of at least 12 months from the date of this report. For this reason, the Company continues to adopt the going concern basis in preparing the financial statements.

The balance sheet of the Company is presented in order of increasing liquidity. All amounts presented in the statement of income and comprehensive income relate to continuing operations.

2.3 Functional and presentation currency

Items included in the financial statements are measured using the currency of the primary economic environment in which the entity operates (the "functional currency"). The financial statements are presented

in United States Dollars ("$"), which is also the Company's functional currency. The Bermuda Dollar is on par with the United States Dollar.

3 Material accounting policies information

The principal accounting policies applied in the preparation of these financial statements are set out below. The most critical individual components of these financial statements that involve the highest degree of judgement or significant assumptions and estimations are identified in Note 3.8.

Except as described below, the accounting policies adopted are consistent with those of the previous financial year.

3.1 New accounting standards, interpretations and amendments to published standards, and future accounting developments

The Company has not early adopted any other standard, interpretation or amendment that has been issued but is not yet effective. The following new standards, amendments to standards and interpretations that are effective for annual periods beginning on 1 January 2024 have been applied, where applicable, in preparing these financial statements and had no material impact on the Company.

- Amendments to IFRS 16 Leases – Lease Liability in a Sale and Leaseback.
- Amendments to IAS 1 – Presentation of Financial Statements – Classification of Liabilities as Current or Non-Current and Non-Current Liabilities with Covenants.
- Amendments to IAS 7 – Statement of Cash Flows and IFRS 7 – Financial Instruments: Disclosures – Supplier Finance Arrangements.

Future accounting developments

The following new standards, and amendments to standards, are effective for annual periods beginning on or after 1 January 2025 and have not been applied in preparing these financial statements:

- Amendments to IFRS 10 and IAS 28 – Sale or Contribution of Assets between an Investor and its Associate or Joint Venture (not yet endorsed, effective date postponed indefinitely).
- Amendments to IAS 21 – The Effects of Changes in Foreign Exchange Rates – Lack of Exchangeability (endorsed, effective date 1 January 2025).
- Amendments to IFRS 9 – Financial Instruments and IFRS 7 Financial Instruments: Disclosures – Classification and Measurement of Financial Instruments (not yet endorsed, effective date 1 January 2026).
- Amendments to IFRS 1 – First-time Adoption of International Financial Reporting Standards (not yet endorsed, effective date 1 January 2026).

- Amendments to IFRS 7 – Financial Instruments: Disclosures and its accompanying Guidance on implementing IFRS 7 (not yet endorsed, effective date 1 January 2026).
- Amendments to IAS 7 – Statement of Cash Flows (not yet endorsed, effective date 1 January 2026).
- IFRS 18 – Presentation and Disclosure in Financial Statements (not yet endorsed, effective date 1 January 2027).

3.2 Insurance and reinsurance contracts

The accounting policy set out below is applicable to insurance and reinsurance contracts that are issued by the Company and reinsurance contracts held by the Company unless indicated otherwise.

(a) Classification
Insurance contracts are defined as those containing significant insurance risk. Significant insurance risk criteria are met if, and only if, an insured event could cause an insurer to make significant additional payments in any scenario, excluding scenarios that lack commercial substance, at the inception of the contract. Such contracts remain insurance contracts until all rights and obligations are extinguished or expire.

The Company issues short-term casualty and property (re)insurance contracts in the normal course of business, under which it accepts significant insurance risk from its policyholders. The Company also enters into ceded reinsurance contracts with reinsurers under which the Company transfers significant insurance risk to reinsurers and is compensated for claims on contracts issued by the Company.

(b) Separating components
The Company assesses its insurance and reinsurance products to determine whether they contain distinct components which must be accounted for under another IFRS instead of under IFRS 17. After separating any distinct components, the Company applies IFRS 17 to all remaining components of the (host) insurance contract. Currently, the Company's products do not include any distinct components that require separation.

Some reinsurance contracts issued contain profit commission arrangements. Under certain of these arrangements, there is a guaranteed minimum amount that the policyholder will always receive – either in the form of profit commission, or as claims, or another contractual payment irrespective of the insured event happening. The guaranteed minimum amounts have been assessed to be highly interrelated with the insurance component of the reinsurance contracts and are, therefore, non-distinct investment components which are not accounted for separately. However, receipts and payments of these investment components are excluded from insurance revenue and expenses.

(c) Level of aggregation
Insurance contracts are aggregated into groups for measurement purposes. The level of aggregation is determined firstly by grouping contracts into portfolios which, with some limited exceptions, are set as the

reserving classes of each legal entity. Portfolios comprise groups of contracts with similar risks which are managed together. Portfolios are further divided based on expected profitability at inception into three categories: onerous contracts, contracts with no significant risk of becoming onerous, and the remainder. No group for level of aggregation purposes may contain contracts issued more than one year apart. The grouping of contracts is not subsequently reconsidered.

A group of insurance contracts is considered to be onerous at initial recognition if the fulfillment cashflows allocated to that group of contracts in total are a net outflow. That is if the present value of expected claims, attributable expenses and risk adjustment exceeds the premium.

Portfolios of reinsurance contracts held are assessed for aggregation separately from portfolios of insurance contracts issued. Reinsurance contracts held cannot be onerous.

(d) Recognition and derecognition
Groups of insurance contracts issued are initially recognised from the earliest of the following:

- the beginning of the coverage period;
- the date when the first payment from the policyholder is due, or actually received if there is no due date; and
- when the Company determines that a group of contracts becomes onerous.

Insurance contracts acquired in a business combination within the scope of IFRS 3 Business Combinations or a portfolio transfer are accounted for as if they were entered into at the date of acquisition or transfer.

Reinsurance contracts held are recognised as follows:

- a group of reinsurance contracts held that provide proportionate coverage is recognised at the later of:
    - the beginning of the coverage period of the group; and
    - the initial recognition of any underlying insurance contract;
- all other groups of reinsurance contracts held are recognised from the beginning of the coverage period of the group of reinsurance contracts held; unless the Company entered into the reinsurance contract held at or before the date when an onerous group of underlying contracts is recognised prior to the beginning of the coverage period of the group of reinsurance contracts held, in which case the reinsurance contract held is recognised at the same time as the group of underlying insurance contracts is recognised.

Only contracts that individually meet the recognition criteria by the end of the reporting period are included in the groups. When contracts meet the recognition criteria in the groups after the reporting date, they are added to the groups in the reporting period in which they meet the recognition criteria. Composition of the groups is not reassessed in subsequent periods.
An insurance contract is derecognised when it is:

- extinguished (that is, when the obligation specified in the insurance contract expires or is discharged or cancelled); or
- the contract is modified such that the modification results in a change in the measurement model e.g. General Measurement Model (GMM) or the applicable standard for measuring a component of the contract, substantially changes the contract boundary, or requires the modified contracts to be included in a different group.

When a modification is not treated as a derecognition, the Company recognises amounts paid or received for the modification of the contract as an adjustment to the relevant liability or asset for remaining coverage.

When a group of insurance contracts is derecognised, adjustments to remove related rights and obligations result in the following amounts being charged immediately to the Statement of Income and Comprehensive Income:

- if the contract is extinguished, any net difference between the derecognised part of the Liability for Remaining Coverage (LRC) of the original contract and any other cash flows arising from extinguishment;
- if the contract is transferred to the third party, any net difference between the derecognised part of the LRC of the original contract and the premium charged by the third party; or
- if the original contract is modified resulting in its derecognition, any net difference between the derecognised part of the LRC and the hypothetical premium that the entity would have charged if it had entered into a contract with equivalent terms as the new contract at the date of the contract modification, less any additional premium charged for the modification

(e) Contract boundary

The Company uses the concept of contract boundary to determine what cash flows should be considered in the measurement of groups of insurance contracts. Cash flows are within the boundary of an insurance contract if they arise from substantive rights and obligations that exist during the reporting period in which the Company can compel the policyholder to pay the premiums, or in which the Company has a substantive obligation to provide the policyholder with services. A substantive obligation to provide services ends when:

- The Company has the practical ability to reassess the risks of the particular policyholder and, as a result, can set a price or level of benefits that fully reflects those risks; or
- Both of the following criteria are satisfied:
    - The Company has the practical ability to reassess the risks of the portfolio of insurance contracts that contain the contract and, as a result, can set a price or level of benefits that fully reflects the risk of that portfolio; and
    - The pricing of the premiums for coverage up to the date when the risks are reassessed does not take into account the risks that relate to periods after the reassessment date.

A liability or asset relating to expected premiums or claims outside the boundary of the insurance contract is not recognised. Such amounts relate to future insurance contracts.

(f) Measurement – Premium Allocation Approach (PAA)

Initial measurement

The Company applies the PAA to all the insurance contracts that it issues and reinsurance contracts that it holds, because:

- The coverage period of each contract in the group is one year or less; or
- For contracts longer than one year, the Company has modelled possible future scenarios and reasonably expects that the measurement of the LRC for the group containing those contracts under the PAA does not differ materially from the measurement that would be produced applying the general model.

For insurance contracts issued, on initial recognition, the Company measures the LRC as the amount of premiums received, less any acquisition cash flows paid and any amounts arising from the derecognition of the insurance acquisition cash flows asset and the derecognition of any other relevant pre-recognition cash flows.

For reinsurance contracts held, on initial recognition, the Company measures the remaining coverage at the amount of ceding premiums paid, plus broker fees paid to a party other than the reinsurer and any amounts arising from the derecognition of any other relevant pre-recognition cash flows.

For insurance contracts issued, insurance acquisition cash flows allocated to a group are deferred and recognised over the coverage period of contracts in a group. For reinsurance contracts held, broker fees are recognised over the coverage period of contracts in a group.

Subsequent measurement

For insurance contracts issued, at each of the subsequent reporting dates, the LRC is:

- increased for premiums received in the period;
- decreased for insurance acquisition cash flows paid in the period;
- decreased for the amounts of expected premium receipts recognised as insurance revenue for the services provided in the period;
- increased for the amortisation of insurance acquisition cash flows in the period recognised as insurance service expenses; and
- decreased for any investment component paid or transferred to the liability for incurred claims.

For reinsurance contracts held, at each of the subsequent reporting dates, the remaining coverage is:

- increased for ceding premiums paid in the period;
- increased for broker fees paid in the period;
- decreased for the expected amounts of ceding premiums and broker fees recognised as reinsurance expenses for the services received in the period; and

- decreased for any investment component paid or transferred to the reinsurance assets for incurred claims.

The Company does not adjust the LRC for insurance contracts issued or the remaining coverage for reinsurance contracts held for the effect of the time value of money, because insurance premiums are due within one year of the coverage period.

The Company estimates the Liability for Incurred Claims (LIC) as the fulfilment cash flows related to incurred claims. The fulfilment cash flows incorporate, in an unbiased way, all reasonable and supportable information available without undue cost or effort about the amount, timing and uncertainty of those future cash flows, they reflect current estimates from the perspective of the entity, and include an explicit adjustment for non-financial risk (the risk adjustment). In addition, the Company adjusts the Asset for Incurred Claims (AIC) for the effect of the risk of reinsurer's non-performance.

If facts and circumstances indicate that a group of insurance contracts measured under the PAA is onerous on initial recognition or has become onerous subsequently, the Company increases the carrying amount of the LRC, recognising a loss component, to the amounts of the excess of the fulfilment cash flows that relate to the remaining coverage of the group of contracts, over the carrying amount of the LRC of the group. The amount of such an increase is recognised in insurance service expenses. Subsequently, the loss component is amortised over the coverage period of the group of contracts.

When a loss is recognised on initial recognition of an onerous group of underlying insurance contracts or on addition of onerous underlying insurance contracts to that group, the carrying amount of the reinsurance asset for remaining coverage for reinsurance contracts held measured under the PAA is increased by the amount of expected recoveries that will be in the Statement of Income and Comprehensive Income and a loss-recovery component is established or adjusted for that amount. The loss recovery component is calculated by multiplying the loss component recognised on underlying insurance contracts by the percentage of claims on underlying insurance contracts that the Company expects to recover from the reinsurance contracts held that are entered into before or at the same time as the loss is recognised on the underlying insurance contracts. When underlying insurance contracts that are reinsured are included in the same group as insurance contracts issued that are not reinsured, the Company applies a systematic and rational method of allocation to determine the portion of losses that relates to underlying insurance contracts.

(g) Insurance revenue

Insurance revenue is the amount of expected premium receipts (excluding any investment component) allocated to the period. The Company allocates the expected premium receipts to each period of insurance contract services on the basis of the passage of time. But if the expected pattern of release of risk during the coverage period differs significantly from the passage of time, for example a group of contracts that is exposed to large natural catastrophe risk concentrated in the first or second half of the year, then the allocation is made on the basis of the expected timing of incurred insurance service expenses.

Changes to basis of allocation are accounted for prospectively as a change in accounting estimate.

(h) Insurance service expenses
Insurance service expenses include the following:

- incurred claims and benefits, excluding investment components reduced by loss component allocations;
- other incurred directly attributable expenses;
- insurance acquisition cash flows amortisation using the pattern that is consistent with the insurance revenue;
- changes that relate to past service;
- changes that relate to future service;
- insurance acquisition cash flows assets impairment; and
- mandatory reinstatement premiums.

Other expenses not meeting the above categories are included in other operating expenses in the Statement of Income and Comprehensive Income.

(i) Allocation of reinsurance premiums
The allocation of reinsurance premiums includes reinsurance premiums and other directly incurred attributable expenses.

Reinsurance premium and expenses are recognised similarly to insurance revenue. The amount of reinsurance expenses recognised in the reporting period depicts the transfer of received insurance contract services at an amount that reflects the portion of ceding premiums that the Company expects to pay in exchange for those services. Additionally, broker fees and ceding commissions that are not contingent on claims of the underlying contracts issued reduce ceding premiums and are accounted for as part of reinsurance premiums.

In addition, the allocation of reinsurance premiums also includes changes in the reinsurance assets arising from retroactive reinsurance contracts held and voluntary reinstatement ceded premiums.

(j) Amounts recoverable from reinsurers for incurred claims
The amounts recoverable from reinsurers for incurred claims include:

- incurred claims recoveries, excluding investment components
- loss-recovery component allocations;
- changes that relate to past service;
- effect of changes in the risk of reinsurers' non-performance;
- amounts relating to accounting for onerous groups of underlying insurance contracts issued;
- ceding commissions that are contingent on claims of the underlying contracts issued reduce incurred claims recovery; and
- mandatory reinstatement ceded premiums.

(k) Insurance finance income or expenses
Insurance finance income or expenses comprise the change in the carrying amount of the group of insurance contracts arising from:

- the effect of the time value of money and changes in the time value of money. This mainly comprises of interest accreted on the LIC and interest unwind on the AIC; and
- the effect of financial risk and changes in financial risk. This mainly includes the effect of changes in interest rates i.e., discount rates.

The Company does not disaggregate changes in the risk adjustment for non-financial risk between insurance service result and insurance finance income or expenses. The change in the risk adjustment is entirely presented as part of the insurance service result.

Foreign exchange gains and losses continue to be presented as Net other foreign exchange gain (loss) line item.

3.3 Financial assets and liabilities

The Company classifies its financial assets in the following measurement categories, which depends on the business model for managing the financial assets and the contractual terms of the cash flows:

- Amortised cost: Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of Principal and Interest ("SPPI"), and that are not designated at Fair Value through Profit and Loss (FVPL) are measured at amortised cost. Interest income from these financial assets is included in interest income using the effective interest rate method. Such assets held by the Company include cash and cash equivalents, receivables from contract holders/brokers, prepayments and accrued income, receivables and accrued interest, and other debtors.
- Fair Value through Other Comprehensive Income (FVOCI): Assets that are held for collection of contractual cash flows and for selling the financial assets, and where the cash flows represent SPPI, and that are not designated as FVPL are measured at FVOCI. Movements in the carrying amount are taken through Other Comprehensive Income (OCI), except for the recognition of impairment gains or losses, interest revenue and foreign exchange gains and losses which are recognised in profit or loss. When the financial asset is derecognised, the cumulative gain or loss on the instrument's amortised cost previously recognised in OCI is reclassified from equity to profit or loss. Interest income from these financial assets is included in interest income using the effective interest rate method. The Company does not hold any assets at FVOCI as the business model criteria are not met.
- FVPL: Assets that do not meet the criteria for amortised cost or FVOCI are measured at FVPL. Assets can also be designated to FVPL if in doing so it eliminates, or significantly reduces, an accounting mismatch. The gains or losses arising from fair value changes on assets measured at FVPL is recognised in profit or loss and presented within 'investment result' in the period in which it arises. The Company's investment assets in this category include government bonds, corporate bonds, asset and mortgage-

backed securities, other fixed income holdings, equities, investment funds, private credit funds and derivatives. All these assets are at FVPL because of the business model test and the characteristics of the associated contractual cash flows

(a) Recognition
The Company recognises a financial asset or a financial liability in its statement of financial position when, and only when, it becomes a party to the contractual provisions of the instrument. At initial recognition, the Company measures a financial asset at its fair value plus, in the case of a financial asset not at FVPL, transaction costs that are incremental and directly attributable to the acquisition or issue of the financial asset. Transaction costs of financial assets carried at FVPL are expensed in profit or loss.

(b) Impairment allowances
IFRS 9 outlines an Expected Credit Loss (ECL) model for all assets measured at amortised cost and FVOCI. The assessment of credit risk and the estimation of an ECL are unbiased, probability-weighted and incorporate all available information relevant to the assessment, including information about past events, current conditions and reasonable and supportable forecasts of economic conditions at the reporting date. The forward-looking aspect of IFRS 9 requires judgement as to how changes in economic factors affect ECLs. Impairment charges are recognised in the Statement of Income and Comprehensive Income within operational expenses.

The ECL is a three-stage model based on forward looking information regarding changes in credit quality since inception. Credit risk is measured using a probability of default ("PD"); exposure at default ("EAD"); and loss given default ("LGD") as follows:

- PD is an estimate of the likelihood of default of the asset.
- EAD is an estimate of the exposure at that future default date, taking into account expected changes in the exposure after the reporting date.
- LGD is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the Company would expect to receive. It is usually expressed as a percentage of the exposure at default.

The three stages of ECL are defined and assessed as follows:
Stage 1 – no significant increase in credit risk since inception, ECL is calculated using a 12-month PD
Stage 2 – a significant increase in credit risk since inception, ECL is calculated using a lifetime PD
Stage 3 – credit impaired, ECL is calculated using a lifetime PD

A significant increase in credit risk is considered to have incurred when payments are 30 days past due, or earlier if other factors indicate the risk has increased significantly since inception.

Financial assets are written off when there is no reasonable expectation of recovery on a case-by-case basis.

(c) Derecognition

Financial assets are derecognised when the contractual rights to receive the cash flows from the financial assets have expired; or they have been transferred and the Company transfers substantially all the risks and rewards of ownership; or they have been transferred and the Company neither transfers nor retains substantially all the risks and rewards of ownership and the Company has not retained control. Any gain or loss arising from derecognition is recognised directly in profit or loss. A financial liability is derecognised when the obligation under that liability is discharged, cancelled or expires.

(d) Investment income

The total gain/loss from financial assets carried at FVPL is recognised in profit and loss and disclosed in the notes by investment income comprising interest received, realised gains/losses and unrealised gains/losses.

(e) Financial liabilities

At initial recognition, the Company classifies a financial liability at fair value and subsequently at amortised cost, using the effective interest method. Financial liabilities mainly include short term borrowings, and other creditors.

When all or part of the current obligations of a financial liability have been discharged, the Company derecognises the portion of the financial liability or obligation that has been discharged. The difference between the carrying amount of the derecognised liability and the consideration is recognised in profit or loss.

Derivative financial liabilities are measured at FVPL. All the related realised and unrealised gains (losses) and transaction costs are recognised in profit or loss.

(f) Derivative financial instruments

Derivatives are initially recognised at fair value on the date on which a derivative contract is entered into and are subsequently valued at fair value at each statement of financial position date. Fair values are obtained from quoted market values and, if these are not available, valuation techniques including option pricing models are used as appropriate. The method of recognising the resulting gain or loss depends on whether the derivative is designated as a hedging instrument and, if so, the nature of the item being hedged. For derivatives not formally designated as a hedging instrument, fair value changes are recognised immediately in the Statement of Income and Comprehensive Income.

The Company had no derivative instruments designated for hedge accounting during the current or prior financial year.

3.4 Cash and cash equivalents

The Company has classified cash deposits and short-term highly liquid investments as cash and cash equivalents. These assets are readily convertible into known amounts of cash and are subject to inconsequential changes in value. Cash equivalents are financial investments with less than three months to maturity at the date of acquisition.

3.5 Related party transactions

IAS 24 Related Party Disclosures defines related parties, among others, as parent companies and subsidiaries, subsidiaries of a common parent company, associated companies, legal entities under the influence of management and the management of the company itself.

All related party transactions have been recorded in accordance with IAS 24 and include business both assumed and ceded under usual market conditions. Please refer to Note 13 for related party disclosures.

3.6 Foreign currency translation

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the remeasurement at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the statement of income and comprehensive income, except when deferred in equity as IFRS 9 effective net investment hedges. Non-monetary items carried at historical cost are remeasured on the statement of financial position at the exchange rate prevailing on the original transaction date. Non-monetary items measured at fair value are translated using the exchange rate ruling when the fair value was determined.

3.7 Income taxes and uncertain tax positions

In December 2023, Bermuda enacted the Corporate Income Tax Act 2024 to be effective in 2025. It imposes a 15% corporate income tax on the net taxable income of each in scope Bermuda Constituent Entity Group. The impact of this new tax legislation has been determined and disclosed in Note 11.

Current tax, including corporation tax and foreign tax, is provided at amounts expected to be paid (or recovered) using the tax rates and laws that have been enacted or substantively enacted by the statement of financial position date. A provision is recognised for those matters for which the tax determination is uncertain but it is considered probable that there will be a future outflow of funds to a tax authority. The provisions are measured at the best estimate of the amount expected to become payable. The assessment is based on the judgement of tax professionals within the Group supported by previous experience in respect of such activities and, in certain cases, based on advice sought from specialist tax advisors.

Deferred tax is provided in full, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. However, if the deferred income tax arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss, it is not recognized. Deferred tax is determined using tax rates and laws that have been enacted or substantively enacted by the statement of financial position date and are expected to apply when the related deferred tax asset is realised or the deferred tax liability is settled. Deferred tax assets are recognised to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilised.

3.8 Use of significant accounting judgments, estimates and assumptions

The preparation of financial statements requires the Company to select accounting policies and make judgments, estimates and assumptions that affect the reported amounts of assets, liabilities, income and expenses in the financial statements.

The audit committee reviews the reasonableness of critical judgments, estimates and assumptions applied and the appropriateness of material accounting policies information.

Significant accounting judgments

The following areas of judgement are those considered to have a significant impact on the amounts recognised in the financial statements.

Financial investments: classification and measurement of investments including the application of the fair value option.

Insurance and reinsurance contracts
The Company applies the PAA to simplify the measurement of insurance contracts. When measuring LRC, the PAA is broadly similar to the Company's previous accounting treatment under IFRS 4. However, when measuring LIC, the Company now discounts cash flows that are expected to occur more than one year after the date on which the claims are incurred and includes an explicit risk adjustment for non-financial risk.

(a) Liability for Incurred Claims
The ultimate cost of outstanding claims is estimated by using a range of standard actuarial claims projection techniques. The Company relies on actuarial analysis to estimate the settlement cost of future claims. Via a formal governed process, there is close communication between the actuaries and other key stakeholders, such as the underwriters, claims and finance teams when setting and validating the assumptions. The main assumption underlying these techniques is that a Company's past claims development experience can be

used to project future claims development and hence ultimate claims costs. These methods extrapolate the development of paid and incurred losses, average costs per claim (including claims handling costs), and claim numbers based on the observed development of earlier years and expected loss ratios. Historical claims development is mainly analysed by accident years, but can also be further analysed by geographical area, as well as by significant business lines and claim types. In most cases, no explicit assumptions are made regarding future rates of claims inflation or loss ratios. Instead, the assumptions used are those implicit in the historical claims development data on which the projections are based. Additional qualitative judgement is used to assess the extent to which past trends may not apply in future, (e.g., to reflect one-off occurrences, changes in external or market factors such as public attitudes to claiming, economic conditions, levels of claims inflation, judicial decisions and legislation, as well as internal factors such as portfolio mix, policy features and claims handling procedures) in order to arrive at the estimated ultimate cost of claims that present the probability-weighted expected value outcome from the range of possible outcomes, taking account of all the uncertainties involved.

(b) Risk adjustment for non-financial risk

The risk adjustment for non-financial risk is the compensation that the Company requires for bearing the uncertainty about the amount and timing of the cash flows of groups of insurance contracts. The risk adjustment reflects an amount that an insurer would charge to make it indifferent between the cash flows with a range of probable scenarios versus equivalent fixed cash flows.

To determine the risk adjustment for non-financial risk for reinsurance contracts, the Company applies a combination of a Value at Risk ("VaR") (or a percentile) approach and a scenario-based approach both gross and net of reinsurance and derives the amount of risk being transferred to the reinsurer as the difference between the two results. All business is measured under the PAA model and therefore the Company does not calculate a risk adjustment in relation to LRC excluding loss component.

For the incurred claim liabilities measurement purposes, the Company calculates the risk adjustment using a combination of Value at Risk method and scenario analysis targeting an overall confidence level for the aggregate risk distribution. Scenario analysis is used to determine the level of compensation that the Company requires for bearing uncertainty about the large event-driven claims e.g. natural catastrophe. Given the nature of the underlying business and losses, it is normal for new risks to become apparent or for the magnitude of existing risks to change over time. The risk adjustment in its entirety is judged to provide adequate compensation for the risk in the reserves.

At 31 December 2024, the risk adjustment in respect of the LIC net of reinsurance is at the 89th percentile (31 December 2023: 89th percentile).

(c) Premium Allocation Approach eligibility assessment

A simplified measurement model, the PAA, can be applied if certain eligibility criteria are met. The majority of the Company's policies have a coverage period of 12 months or less and so are eligible for the PAA.

Management applies significant judgements in assessing whether to apply the PAA to groups of contracts with a coverage period extending beyond 12 months.

Significant accounting estimates

The key assumptions concerning the future, and other key sources of estimation uncertainty at the reporting period that may have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are discussed below.

All estimates are based on management's knowledge of current facts and circumstances, assumptions based on that knowledge and their predictions of future events. Actual results may differ from those estimates, possibly significantly. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.

The most critical estimate included within the Company's statement of financial position is the measurement of insurance contract liabilities and reinsurance contract held assets, and in particular the estimate of the LIC. The total gross estimate of LIC as at 31 December 2024 is $2,859m (2023: $2,877m). The total estimate for reinsurers' share of losses LIC as at 31 December 2024 is $841m (2023: $1,081m).

Insurance and reinsurance contracts

In applying IFRS 17 measurement requirements, the following inputs and methods were used that include significant estimates. The present value of future cash flows is estimated using deterministic scenarios. The assumptions used in the deterministic scenarios are derived to approximate the probability-weighted mean of a full range of scenarios.

For the sensitivities with regard to the assumptions made that have the most significant impact on measurement under IFRS 17, please refer to Note 4 Management of risk.

(a) Discount rates

The LIC component of insurance contract liabilities are calculated by discounting expected future cash flows at a risk free rate, plus an illiquidity premium where applicable. Risk free rates were derived using swap rates available in the market denominated in the same currency as the insurance contracts being measured. When swap rates are not available, highly liquid sovereign bonds with the highest e.g., AAA/AA credit rating were used.

Management uses judgement to assess liquidity characteristics of the liability cash flows. The illiquidity premium was estimated based on market observable liquidity premiums in financial assets, adjusted to reflect the illiquidity characteristics of the liability cash flows. The illiquidity premium is determined by reference to market observable AA-rated bonds yield curve in the currency of the insurance contract being measured adjusted to remove both expected and unexpected credit risk.

The following discount rates were applied for the currencies and periods presented below:

	Year end 31 December 2024		
	1 year	3 year	5 year
	%	%	%
USD	4.27	4.18	4.24
GBP	4.68	4.40	4.35
EUR	2.46	2.35	2.49
CAD	2.96	2.88	2.98

	Year end 31 December 2023		
	1 year	3 year	5 year
	%	%	%
USD	4.83	3.92	3.74
GBP	4.97	4.12	3.82
EUR	3.49	2.75	2.65
CAD	4.63	3.69	3.39

(b) Estimates of future cash flows to fulfill insurance contracts
Included in the measurement of each group of contracts within the scope of IFRS 17 are all of the future cash flows within the boundary of each group of contracts. The estimates of these future cash flows are based on probability-weighted expected future cash flows. The Company estimates which cash flows are expected and the probability that they will occur as at the measurement date. In setting these expectations, the Company uses information about past events, current conditions and forecasts of future conditions. The Company's estimate of future cash flows is the mean of a range of scenarios that reflect the full range of possible outcomes. Each scenario specifies the amount, timing and probability of cash flows. The probability-weighted average of the future cash flows is calculated using a deterministic scenario representing the probability-weighted mean of a range of scenarios.

Where estimates of expenses-related cash flows are determined at the portfolio level or higher, they are allocated to groups of contracts on a systematic basis, such as activity-based costing method. The Company has determined that this method results in a systematic and rational allocation. Similar methods are consistently applied to allocate expenses of a similar nature.

Acquisition cash flows are typically allocated to groups of contracts based on gross premiums written. This includes an allocation of acquisition cash flows among existing groups of insurance contracts issued. Claims settlement-related expenses are largely allocated based on claims costs.

Uncertainty in the estimation of future claims and benefit payments arises primarily from the severity and frequency of claims and uncertainties regarding future inflation rates leading to claims and claims-handling expenses growth. Assumptions used to develop estimates about future cash flows are reassessed at each reporting date and adjusted where required.

Fair value measurements

The Company carries its financial investments at FVTPL fair value through profit or loss, with fair values determined using published price quotations in the most active financial markets in which the assets trade, where available. Where quoted market prices are not available, valuation techniques are used to value financial instruments. These include third-party valuation reports and models utilising both observable and unobservable market inputs. Valuation techniques involve judgement, including the use of valuation models and their inputs, which can lead to a range of plausible valuations for financial investments. Note 4.3 discusses the reliability of the Company's fair values.

Tax

Legislation concerning the determination of taxation of assets and liabilities is complex and continually evolving. In preparing the financial statements, the Company applies significant judgements in identifying uncertainties over tax treatments and in the measurement of the provision being the best estimate of the amount expected to become payable. The assessment is based on the judgement of tax professionals within the Group supported by previous experience in respect of such activities and based on advice sought from specialist tax advisors.

A deferred tax asset can be recognised only to the extent that it is recoverable. The recoverability of deferred tax assets in respect of carry forward losses requires consideration of the future levels of taxable profit. In preparing the Company's financial statements, management estimates taxation assets and liabilities after taking appropriate professional advice. Significant estimates and assumptions used in the valuation of deferred tax relate to the forecast taxable profits, taking into account the Company's financial and strategic plans. See Note 11 for further details of adjustments made to deferred tax during the year.

The determination and finalisation of agreed taxation assets and liabilities may not occur until several years after the reporting date and consequently the final amounts payable or receivable may differ from those presented in these financial statements.

4 Management of risks

The Company adheres to the Group's overall appetite for accepting and managing varying classes of risk which is defined by the Group's Board of Directors. The Board has developed a governance framework and has set Group-wide risk management policies and procedures which include risk identification, risk management and mitigation and risk reporting. The objective of these policies and procedures is to protect the Group's shareholders, policyholders and other stakeholders from negative events that could hinder the Group's delivery of its contractual obligations and its achievement of sustainable profitable economic and social performance.

The Board exercises oversight of the development and operational implementation of its risk management policies and procedures through the Group Risk Committee and ongoing compliance therewith, through a dedicated internal audit function, which has operational independence, clear terms of reference influenced by the Group Board's Non-Executive Directors and a clear upwards reporting structure back into the Board. The Group and the Company, in common with the non-life insurance industry generally, is fundamentally driven by a desire to originate, retain and service insurance contracts to maturity. The Company's cash flows are funded mainly through advance premium collections and the timing of such premium inflows is reasonably predictable. In addition, the majority of material cash outflows are typically triggered by the occurrence of insured events, although the timing, frequency and severity of claims can fluctuate.

The principal sources of risk relevant to the Company's operations and its financial statements fall into three broad categories: operational risk, insurance risk and financial risk, which are described in Notes 4.1,4.2 and 4.3 below. The Company also actively manages its capital risks as detailed in Note 4.4 and tax risks as detailed in note 11.

4.1 Operational Risk

The Company is exposed to the risk of direct or indirect loss resulting from internal processes, people or systems, or from external events. This includes cyber security risk, as well as major IT, systems or service failures. The Company has demonstrated continued resilience, underscoring the benefits of its business model, disciplined risk management and ongoing investment in technology and infrastructure. The Group and the Company have implemented several operational risk management processes, which include a continued focus on Group-wide crisis management response planning and enhancing its defenses and response to information security and cyber threats. The Group and the Company regularly reassesses its information security standards and methodologies to ensure appropriate governance and consistency in its approach. In 2024, the Group and the Company also introduced an artificial intelligence (AI) standard to ensure we have appropriate governance and controls around our own use of AI.

4.2 Insurance Risk

The predominant risk the Company is exposed to is insurance risk which is assumed through the underwriting process. Insurance risk can be sub-categorised into i) underwriting risk including the risk of catastrophe and systemic (re)insurance losses and the market cycle, and ii) reserving risk.

i) Underwriting risk
The Board sets the Company's underwriting strategy and risk appetite seeking to exploit identified opportunities in light of other relevant anticipated market conditions. The Board requires the Company's underwriters to operate within an overall Group appetite for individual events. This defines the maximum exposure that the Company is prepared to retain on its own account for any one potential catastrophe event or disaster.

Consistent with the Group, the Company's overall underwriting risk appetite seeks to ensure that in a 1-in-200 bad year, it is within the underwriting risk limit. The limit is calibrated each year based on exposure, expected profit and the size of other correlated risks to enable the Company to continue in business and take advantage of market opportunities that arise.

Specific underwriting objectives such as aggregation limits, reinsurance protection thresholds and geographical disaster event risk exposures are prepared and reviewed by the Chief Underwriting Officer in order to translate the Board's summarised underwriting strategy into specific measurable actions and targets. These actions and targets are reviewed and approved by the Board in advance of each underwriting year. The Board continually reviews its underwriting strategy throughout each underwriting year in light of the evolving market pricing and loss conditions and as opportunities present themselves. The underwriters and management consider underwriting risk at an individual contract level, and also from a portfolio perspective where the risks assumed in similar classes of policies are aggregated and the exposure evaluated in light of historical portfolio experience and prospective factors.
To assist with the process of pricing and managing underwriting risk the Company routinely performs a wide range of activities including the following:

- regularly updating the Company's risk models;
- documenting, monitoring and reporting on the Company's strategy to manage risk;
- developing systems that facilitate the identification of emerging issues promptly;
- utilising sophisticated computer modelling tools to simulate catastrophes and measure the resultant potential losses before and after reinsurance;
- monitoring legal developments and amending the wording of policies when necessary;
- regularly aggregating risk exposures across individual underwriting portfolios and known accumulations of risk;
- examining the aggregated exposures in advance of underwriting further large risks; and
- developing processes that continually factor market intelligence into the pricing process.

The delegation of underwriting authority to specific individuals is subject to regular review. All underwriting staff are set strict parameters in relation to the levels and types of business they can underwrite, based on individual levels of experience and competence. These parameters cover areas such as the maximum sums insured per insurance contract, maximum gross premiums written and maximum aggregated exposures per geographical zone and risk class. Regular meetings are held between underwriting, claims and actuarial teams in order to monitor claims development patterns and discuss individual underwriting issues as they arise. The Company compiles estimates of losses arising from extreme loss events using statistical models alongside input from its underwriters. These require significant management judgement. Disaster scenarios are hypothetical events selected to represent major events occurring in areas with large insured values. They also reflect the areas that represent significant exposures for the Company. In addition to understanding the loss the Company may suffer from an event, it is important to ensure that the risk models used are calibrated to the risks faced today. This includes updating trends in claims payments, and capturing climate change-related impacts. The Group has a climate risk framework, which is used to assess where research resources should be focused, and models updated, and as a result improves not only the Company's understanding of the potential impact of a changing climate but also the Company's ability to respond.

The selection of extreme loss scenario events is adjusted each year and they are not therefore necessarily directly comparable from one year to the next. The events are extreme and unprecedented, and as such these estimates may prove inadequate as a result of incorrect assumptions, model deficiencies, or losses from unmodelled risks. This means that should such an extreme loss event actually occur, the Company's final ultimate losses could materially differ from those estimates modelled by management. The Company's insurance contracts include provisions to contain losses, such as the ability to impose deductibles and demand reinstatement premiums in certain cases. In addition, in order to manage the Company's exposure to repeated catastrophic events (both man-made and natural catastrophes), relevant policies frequently contain payment limits to cap the maximum amount payable from these insured events over the contract period. In the case of climate-exposed risks specifically, the vast majority of contracts written by the Company are annual in nature and thus can be revised frequently. This flexibility is a key tool for managing the multi-decade challenge of climate risks holistically.

Underwriting risk is also managed by purchasing reinsurance. Reinsurance protection may be in the form of quota share reinsurance or excess of loss cover and is purchased at an entity level but is also considered at an overall Group level to mitigate the effect of catastrophes and unexpected concentrations of risk. However, the scope and type of reinsurance protection purchased may change depending on the extent and competitiveness of cover available in the market. Please refer to Note 7 for the LIC net of reinsurance.

The estimated liquidity profile to settle the net claims liabilities is given in note 4.3(v).

The Company's property reinsurance inwards acceptances are primarily focused on large commercial property, homeowner and crop exposures held by other insurance companies predominantly in North

America and other developed economies. This business is characterised more by large claims arising from individual events or catastrophes. Multiple insured losses can periodically arise out of a single natural or man-made occurrence. The main circumstances that result in claims against the reinsurance inwards book are conventional catastrophes, such as earthquakes or storms, and other events including fires, explosions, and cyber events. The occurrence and impact of these events are very difficult to model over the short term which complicates attempts to anticipate loss frequencies on an annual basis. In those years where there is a low incidence of severe catastrophes, loss experience on the reinsurance inwards book can be relatively low.

A significant proportion of the reinsurance inwards business provides cover on an excess of loss basis for individual events. The Company agrees to reimburse the cedant once their losses exceed a minimum level. Consequently, the frequency and severity of reinsurance inwards claims are related not only to the number of significant insured events that occur but also to their individual magnitude. If numerous catastrophes occurred in any one year, but the cedant's individual loss on each was below the minimum stated, then the Company would have no liability under such contracts. Maximum gross line sizes and aggregate exposures are set for each type of programme.

The Company writes reinsurance risks for periods of mainly one year so that contracts can be assessed for pricing and terms and adjusted to reflect any changes in market conditions and the evolving impact of climate change.

The Company also writes casualty reinsurance on a quota share basis from affiliates and the strategy attempts to ensure that the underwritten risks are well diversified in terms of type and amount of potential hazard, industry and geography. However, the Company's exposure is more focused towards professional, general and technological liability risks rather than human bodily injury risks, which are only accepted under limited circumstances. Claims typically arise from incidents such as errors and omissions attributed to the insured, professional negligence and specific losses suffered as a result of electronic or technological failure of software products and websites.

The provision of insurance to cover allegations made against individuals acting in the course of fiduciary or managerial responsibilities, including directors' and officers' insurance is one example of a casualty insurance risk.

The Company's casualty reinsurance contracts mainly experience low severity attritional losses. By nature, some of these losses may take longer to settle than the other categories of business. In addition, there is increased potential for accumulation in casualty risk due to the growing complexity of business, technological advances, and greater interconnectivity and interdependency across the world due to globalisation. The pricing strategy for casualty insurance policies is typically based on historical claim frequencies and average claim severities, adjusted for inflation and extrapolated forwards to incorporate

projected changes in claims patterns. In determining the price of each policy, an allowance is also made for acquisition and administration expenses, reinsurance costs, investment returns and the cost of capital.

The market for cyber insurance is still a relatively immature one, complicated by the fast-moving nature of the threat, as the world becomes more connected. The risks associated with cyber insurance are multiplying in both diversity and scale, with associated financial and reputational consequences of failing to prepare for them. The Company has focused its cyber expertise on prevention, in addition to the more traditional recovery product.

Please see below for the estimated concentration of insurance risks on inwards reinsurance, measured in insurance revenue:

	2024	2023
	$000	$000
External inwards reinsurance	604,923	589,264
Internal inwards reinsurance	1,052,135	1,040,551
Total	1,657,058	1,629,815

ii) Reserving risk

The Company's procedures for estimating the outstanding costs of settling insured losses at the Statement of Financial Position date, including claims incurred but not yet reported, are detailed in Note 3.8.

The Company's provision estimates are subject to rigorous review by senior management from all areas of the business. The final provision is approved by the Board on the recommendation of the reserving committee.

The short-tailed property reinsurance claims are normally mostly notified and settled within 12 to 24 months of the insured event occurring. There is often a time lag between the establishment and restimate of case reserves and reporting to the Company. The Company works closely with the reinsured to ensure timely reporting and also centrally analyses industry loss data to verify the reported reserves.

Those claims taking the longest time to develop and settle typically relate to casualty risks where legal complexities occasionally develop regarding the insured's alleged omissions or negligence. The length of time required to obtain definitive legal judgments and make eventual settlements exposes the Company to a degree of reserving risk in an inflationary environment.

The final quantum for casualty claims may not be established for many years after the event. A significant proportion of the casualty insurance amounts reserved on the Statement of Financial Position may not be expected to settle within 24 months of the Statement of Financial Position date. Consequently, our approach

is not to recognize the favorable experience in the early years of development in the reserving process when setting the booked reserve.

The nature of reinsurance is such that, there is often a time lag between the establishment and re-estimate of case reserves and reporting to the Company. The Company works closely with the reinsured to ensure timely reporting and also centrally analyses industry loss data to verify the reported reserves.

For losses from Covid-19 continue to settle well within expectations. As time passes and legal cases are gradually settled, the outcome becomes more certain and so the level of risk adjustment above the best estimate can be reduced.

4.3 Financial Risk

The Company is primarily exposed to financial risk through its ownership of financial instruments. The Company invests in financial assets in order to fund obligations arising from its insurance contracts.

The key financial risk for the Company is that the proceeds from its financial assets and investment result generated thereon are not sufficient to fund the Company's obligations. The most important elements and economic variables that could result in such an outcome relate to the reliability of fair value measures: price risk, interest rate risk, credit risk, liquidity risk and currency risk. The Company's policies and procedures for managing exposure to these specific categories of risk are detailed below.

i) Reliability of fair values
The Company has elected to carry loans and other receivables at amortised cost and all financial investments at FVPL as they are managed and evaluated on a fair value basis in accordance with a documented strategy. With the exception of unquoted investments shown in Note 12, all of the financial investments held by the Company are available to trade in markets and the Company therefore seeks to determine fair value by reference to published prices or as derived by pricing vendors using observable quotations in the most active financial markets in which the assets trade. The fair value of financial assets is measured primarily with reference to their closing market prices at the Statement of Financial Position date. The ability to obtain quoted market prices may be reduced in periods of diminished liquidity. In addition, those quoted prices that may be available may represent an unrealistic proportion of market holdings or individual trade sizes that could not be readily available to the Company. In such instances fair values may be determined or partially supplemented using other observable market inputs such as prices provided by market makers such as dealers and brokers, and prices achieved in the most recent regular transaction of identical or closely related instruments occurring before the Statement of Financial Position date but updated for relevant perceived changes in market conditions.

Valuation of these securities will continue to be impacted by external market factors including interest rates, default rates, rating agency actions, and liquidity. The Company will make adjustments to the investment

portfolio as appropriate as part of its overall portfolio strategy, but its ability to mitigate its risk by selling or hedging its exposures may be limited by the market environment. The Company's future results may be impacted, both positively and negatively, by the valuation adjustments applied to these securities.

Note 8 provides an analysis of the measurement attributes of the Company's financial instruments.

ii) Price risk

The Company is exposed to price risk through its holdings of equity and investment funds. This is limited to a relatively small and controlled proportion of the overall investment portfolio and the equity and investment funds involved are diversified over a number of companies and industries. The fair value of equity and investment fund assets in the Statement of Financial Position at 31 December 2024 was $72,511 (2023: $68,911).

These may be analysed as follows:

Nature of equity and investment fund holdings	2024	2023
	(% weighting)	
Directly held equity securities	0 %	0 %
Equity funds	50 %	48 %
Hedge funds	50 %	52 %
Geographic focus		
Specific UK mandates	30 %	20 %
Global mandates	70 %	80 %

The allocation of price risk is not heavily confined to any one market index so as to reduce the Company's exposure to individual sensitivities. The Company makes an allocation to less volatile, absolute return strategies within its risk assets, so as to balance its desire to maximise returns with the need to ensure capital is available to support underwriting throughout any downturn in financial markets. A 10% downward correction in equity prices at 31 December 2024 would have been expected to reduce the Company's equity and profit after tax for the year by approximately $7.3 million (2023: $6.9 million) assuming that the only area impacted was equity financial assets. A 10% upward movement is estimated to have an equal but opposite effect.

iii) Interest rate risk

Fixed income investments represent a significant proportion of the Company's assets and the Board continually monitors investment strategy to minimise the risk of a fall in the portfolio's market value which

could affect the amount of business that the Company is able to underwrite or its ability to settle claims as they fall due. The fair value of the Company's investment portfolio of debt and fixed income securities is normally inversely correlated to movements in market interest rates. If market interest rates rise, the fair value of the Company's debt and fixed income investments would tend to fall and vice versa if credit spreads remained constant. Debt and fixed income assets are predominantly invested in high-quality corporate, government and asset-backed bonds. The investments typically have relatively short durations and terms to maturity. The portfolio is managed to minimise the impact of interest rate risk on anticipated Company cash flows.

The Company may also, from time to time, enter into interest rate future contracts in order to reduce interest rate risk on specific portfolios. The fair value of debt and fixed income assets in the Company's Statement of Financial Position at 31 December 2024 was $1,517,216 (2023: $1,624,915).

The fair value of private credit funds with exposures to interest rate risk at 31 December 2024 was $84.7m (2023: $nil) of which more than 99% are floating rate.

One method of assessing interest rate sensitivity is through the examination of duration-convexity factors in the underlying portfolio. Using a duration-convexity-based sensitivity analysis, if market interest rates had increased or decreased by 100 basis points at the Statement of Financial Position date, the Company equity and profit after tax for the year might have been expected to increase or decrease by approximately $24.6 million (2023: $24.6 million) assuming that the only Statement of Financial Position area affected was debt and fixed income financial assets. Duration is the weighted average length of time required for an instrument's cash flow stream to be recovered, where the weightings involved are based on the discounted present values of each cash flow. A closely related concept, modified duration, measures the sensitivity of the instrument's price to a change in its yield to maturity. Convexity measures the sensitivity of modified duration to changes in the yield to maturity. Using these three concepts, scenario modelling derives the above estimated impact on instruments' fair values for a 100-basis point change in the term structure of market interest rates.
The liability for incurred claims, reinsurance assets for incurred claims and certain reinsurance assets for remaining coverage are subject to discounting. Please refer to note 3.8 significant accounting estimates for further details regarding the discount rate used.

The Company has also recalculated the discounting impact for the reinsurance contract assets and insurance contract liabilities, to estimate that a movement in interest rates may affect the Company profit for the year as follows:

	1% increase in interest rates		1% decrease in interest rates	
	2024	2023	2024	2023
	Profit or (loss)	Profit or (loss)	Profit or (loss)	Profit or (loss)
	'000	'000	'000	'000
Reinsurance contract assets	(7,755)	(7,839)	8,088	8,191
Insurance contract liabilities	25,201	24,009	(26,428)	(25,154)

iv) Credit risk

The Company has exposure to credit risk, which is the risk that a counterparty will suffer a deterioration in perceived financial strength or be unable to pay amounts in full when due, or that for any reason they renege on a contract or alter the terms of the agreement. The concentrations of credit risk exposures held by insurers may be expected to be greater than those associated with other industries, due to the specific nature of reinsurance markets and the extent of investments held in financial markets. In both markets, the Company interacts with a number of counterparties who are engaged in similar activities with similar customer profiles, and often in the same geographical areas and industry sectors. Consequently, as many of these counterparties are themselves exposed to similar economic characteristics, one single localised or macroeconomic change could severely disrupt the ability of a significant number of counterparties to meet the Company's agreed contractual terms and obligations.

Key areas of exposure to credit risk include:

- counterparty risk with respect to cash and cash equivalents, and investments including deposits and derivative transactions.
- reinsurance asset for incurred claims including amounts due from reinsurers in respect of claims already paid; and
- amounts due from insurance contract holders.

The Company's maximum exposure to credit risk is represented by the carrying values of financial assets and reinsurance assets included in the Statement of Financial Position at any given point in time. The Company does not use credit derivatives or other products to mitigate maximum credit risk exposures on reinsurance assets, but collateral may be requested to be held against these assets. The Company structures the levels of credit risk accepted by placing limits on its exposure to a single counterparty, or groups of counterparties, and having regard to geographical locations. Such risks are subject to an annual or more frequent review. There is no significant concentration of credit risk with respect to loans and other receivables, as the Company has a large number of internationally dispersed debtors with unrelated operations. Retrocession is used to contain insurance risk. This does not, however, discharge the Company's liability as primary reinsurer. If a retrocessionaire fails to pay a claim for any reason, the Company remains liable for the payment to the reinsured. The creditworthiness of retrocessionaires is therefore continually reviewed throughout the year.

The Reinsurance Credit Committee ("RCC") assesses the creditworthiness of all reinsurers by reviewing credit grades provided by rating agencies and other publicly available financial information detailing their financial strength and performance as well as detailed analysis from the Group's internal credit analysis team. The financial analysis of retrocession partners produces an assessment categorised by factors including their S&P rating (or equivalent when not available from S&P).

While the rating agencies provide strong analysis on the financials and governance of a reinsurance security, the RCC also takes account of qualitative factors. The RCC considers the reputation of its reinsurance partners and also receives details of recent payment history and the status of any ongoing negotiations between Group companies and these third parties. The final score that a security receives will determine how much reinsurance credit risk Hiscox is willing to have with that security based on the exposure guidelines. Despite the rigorous nature of this assessment exercise, and the resultant restricted range of counterparties with acceptable strength and credit credentials that emerges therefrom, some degree of credit risk concentration remains inevitable.

A credit risk exists should any of our retrocessionaires be unable to fulfill their contractual obligations with respect to the payment of reinsurance balances due to the Company. As at 31 December 2024, of the $841m (2023: $1,081m) of AIC, approximately 22% (2023: 21%) or $185m (2023: $231m) are due from cedants who are not required to provide collateral and are rated 'A' or above. Of the remaining 78% (2023: 79%) or $656m (2023: $850m) are collateralized by trusts for which we are the beneficiary.

As at 31 December 2024 of the Company's total Reinsurance Contract Assets of $522m (2023: $654m), $397m (2023: $482m) were due from Hiscox affiliates. External reinsurance contract assets of $125m (2023: $172m) have been evaluated and at 31 December 2024, the Company does not deem any of its reinsurance balances receivable as uncollectible.

The Company also maintains records of the payment history for significant brokers and contract holders with whom they conduct regular business. The exposure to individual counterparties is also managed by other mechanisms, such as the right of offset, where counterparties are both debtors and creditors of the Company, and obtaining collateral from unrated counterparties. Management information reports detail provisions for impairment on trade and other receivables and subsequent write-off. Exposures to individual intermediaries and groups of intermediaries are collected within the ongoing monitoring of the controls associated with regulatory solvency.

The Company also mitigates counterparty credit risk by concentrating debt and fixed income investments in high-quality instruments, including a particular emphasis on government bonds issued mainly by North American countries and the European Union. For the current and prior period, the Company did not experience any material defaults on debt securities.

An analysis of the Company's exposure to counterparty credit risk in its portfolio of fixed income holdings, based on S&P or equivalent rating is presented below.

	2024	2023
	$000	$000
Government and government agencies		
U.S.	340,699	448,833
Non-U.S.	239,400	232,988
AAA	144,490	114,058
AA	38,144	35,121
A	298,865	308,913
BBB	302,320	353,408
Non-investment grade*	153,298	131,594
Total investments in fixed income holdings	1,517,216	1,624,915

* *Fixed income holdings with a rating of below BBB*

Within the fixed income holdings, which include debt securities, deposits with credit institutions, credit funds and cash equivalent assets, there are exposures to a range of government borrowers, on either a direct or guaranteed basis, and banking institutions. The Company, together with its investment managers, closely manages its geographical exposures across government issued and supported debt.

The largest aggregated counterparty exposure related to debt and fixed income holdings at 31 December 2024 of $306 million is to the US Treasury (2023: $376 million).

Of cash and cash equivalents, 2% (2023: 9%) are held at a U.S. financial institution rated A (2023: A+) by Fitch Ratings, 2% (2023: 13%) at a Bermuda financial institution rated A+ by Standard & Poor's, 4% (2023: 21%) are held at U.K. Financial Institutions rated AA- by Standard & Poor's, 42% (2023: 49%) at a S&P AAA rated liquidity fund, 5% (2023: 7%) at a S&P A rated liquidity fund, 15% (2023: 0%) at a S&P A+ rated liquidity fund, 1% (2023: 1%) at a U.S. financial institution rated AA by S&P and 28% (2023: 0%) of cash and cash equivalents are held at a U.S. financial institution rated AAA by S&P. The Company's management evaluates the financial strength and stability of these institutions on a periodic basis. The Company's investment portfolio is managed by external investment managers in accordance with the Company's investment guidelines.

Within private credit fund holdings, which include commingled vehicles which hold mainly loans, there are exposures to a range of corporate borrowers. The Company manages its exposure to individual funds and,

together with the investment managers of the funds, closely manages the sector and geographical exposures within the funds.

v) Liquidity Risk

The Company is exposed to daily calls on its available cash resources, mainly from claims arising from its reinsurance contracts. Liquidity risk is the risk that cash may not be available to pay obligations when due at a reasonable cost. The Board sets limits on the minimum level of cash and maturing funds available to meet such calls.

A significant proportion of the Company's investments are in highly liquid assets which could be converted to cash in a prompt fashion and at minimal expense. The Company's exposure to equities is concentrated on shares and funds that are traded on internationally recognised stock exchanges.

The main focus of the investment portfolio is on high-quality, short-duration debt and fixed income securities and cash. There are no significant holdings of investments with specific repricing dates. Notwithstanding the regular interest receipts and also the Company's ability to liquidate these securities and the majority of its other financial instrument assets for cash in a prompt and reasonable manner, the contractual maturity profile of the fair value of these securities at 31 December is disclosed in Note 12.

The available headroom of working capital is monitored through the use of a detailed Company cash flow forecast which is reviewed by management quarterly or more frequently as required.

The following is an analysis of the estimated timing of net cash outflows based on the undiscounted liability for incurred claims. The estimated phasing of settlement is based on current estimates and historical trends and the actual timing of future settlement cash flows may differ materially from the following:

	2024	2023
	$000	$000
Within one year	1,224,612	1,303,099
Between one and two years	743,888	743,208
Between two and five years	828,402	791,206
Over five years	244,466	223,533
Total Undiscounted LIC	3,041,368	3,061,046

vi) Currency risk

Currency risk is the risk of loss resulting from fluctuations in exchange rates. The Company's exposures to foreign exchange risk arise mainly with respect to the Pound Sterling and Euro, which arises from the conversion of foreign currency transactions resulting from the activities of entering into reinsurance, investment and operational contracts in a currency that is different to its functional currency. As at 31 December 2024, the Company used closing rates of exchange of $1: £0.80 and $1: €0.97 (2023: $1: £0.78 and $1: €0.91).

Operational foreign exchange risk is principally managed by broadly matching assets and liabilities by currency and liquidity. Due attention is paid to local regulatory solvency and risk-based capital requirements. Any foreign currency derivative transactions with external parties are managed centrally. The currency profile of the Company's assets and liabilities is as follows:

	USD	GBP	EUR	Others	Total
Year ended 31 December 2024	$000	$000	$000	$000	$000
Cash and cash equivalents	339,997	106,093	10,152	33,971	490,213
Deferred tax asset	151,900	—	—	—	151,900
Financial assets at fair value	1,220,114	293,945	75,668	—	1,589,727
Reinsurance contract assets	525,888	(28,644)	40,995	(16,571)	521,668
Loans and receivables	65,227	2,653	19,913	1,103	88,896
Total assets	2,303,126	374,047	146,728	18,503	2,842,404
Insurance contract liabilities	556,885	331,479	121,292	25,565	1,035,221
Trade and other payables	835,728	(301,063)	(484,272)	(29,419)	20,974
Total liabilities	1,392,613	30,416	(362,980)	(3,854)	1,056,195

	USD	GBP	EUR	Others	Total
Year ended 31 December 2023	$000	$000	$000	$000	$000
Cash and cash equivalents	215,327	77,873	106,641	61,372	461,213
Deferred tax asset	150,000	—	—	—	150,000
Financial assets at fair value	1,384,709	309,116	1	—	1,693,826
Reinsurance contract assets	638,601	(15,834)	36,856	(5,764)	653,859
Loans and receivables	99,161	12,832	16,230	243	128,466
Total assets	2,487,798	383,987	159,728	55,851	3,087,364
Insurance contract liabilities	929,854	271,034	91,730	33,639	1,326,257
Trade and other payables	509,596	(137,197)	(363,678)	17,379	26,100
Total liabilities	1,439,450	133,837	(271,948)	51,018	1,352,357

4.4 Capital Risk Management

The Company's primary objectives when managing its capital position are:

- to safeguard its ability to continue as a going concern

- to provide an adequate return to the Parent company by pricing its insurance products and services commensurately with the level of risk;
- to maintain an efficient cost of capital;
- to comply with all regulatory requirements by an appropriate margin;
- to maintain financial strength ratings of A or better; and
- to settle policyholders' claims as they arise.

Additionally, the Company complies with all capital requirements set by its regulator, the Bermuda Monetary Authority ("the Authority"). Please refer to Note 16 for additional disclosures on statutory requirements.

The Company measures its capital requirements against its available capital. Available capital is defined by the Company as the total of net tangible asset value.

The Group Board ensures that the use and allocation of capital are given a primary focus in all significant operational actions. With that in mind, the Group has developed and embedded capital modelling tools within its business. These join together short-term and long-term business plans and link divisional aspirations with the Group's overall strategy.

The models provide the basis of the allocation of capital to different businesses and business lines, as well as the regulatory and rating agency capital processes.

4.5 Tax Risk

See Note 11.

5 Cash and cash equivalents

	2024	2023
	$000	$000
Cash at bank	73,866	199,655
Short-term deposits	416,347	261,558
Total Cash and cash equivalents	490,213	461,213

Cash includes overnight deposits. Short-term deposits include debt securities with an original maturity date of less than three months and money market funds.

6 Net investment and insurance finance result

The following table summarises the Company's net investment results:

	2024	2023
	$000	$000
Investment result		
Investment income including interest receivable	94,655	88,643
Net realised losses on investments at FVPL	(10,349)	(8,505)
Net fair value gains on investments at FVPL	20,076	36,371
Total result	104,382	116,509
Net finance expense from insurance contracts		
Interest accreted	(104,829)	(102,174)
Effects of changes in interest rates and other financial	2,938	1,077
Total net finance expense from insurance contracts	(101,891)	(101,097)
Net finance income from reinsurance contracts		
Interest accreted	22,657	28,146
Effects of changes in interest rates and other financial	(1,350)	(1,954)
Total net finance income from reinsurance	21,307	26,192
Net insurance finance expense	(80,584)	(74,905)
Net financial result	23,798	41,604

7 Insurance liabilities and reinsurance contract held assets

	2024	2023
	$000	$000
Insurance contract liabilities	1,035,221	1,326,257
Reinsurance contract held assets	(521,668)	(653,859)
Net insurance contract liabilities	513,553	672,398

Below is a reconciliation of the changes in insurance and reinsurance contract balances during the year:

Insurance contract liabilities

	Liability for remaining coverage		Net liabilities for incurred claims		
Year to 31 December 2024	LRC excluding loss component	Loss component	Estimates of present value of future cash flows	Risk adjustment for non-financial risk	Total
	$000	$000	$000	$000	$000
Opening assets	—	—	—	—	—
Opening liabilities	(1,550,344)	—	2,382,954	493,647	1,326,257
Net opening balance	**(1,550,344)**	**—**	**2,382,954**	**493,647**	**1,326,257**
Changes in the Statement of Income and Comprehensive Income					
Insurance revenue	(1,657,058)	—	—	—	(1,657,058)
Insurance service expenses					
Incurred claims and other insurance service expenses	—	—	715,589	(447,065)	268,524
Amortisation of insurance acquisition cash flows	62,456	—	—	—	62,456
Adjustments for LIC relating to past service	—	—	103,786	264,984	368,770
Losses and reversals of losses on onerous contracts	—	—	—	—	—
Total insurance service expenses	**62,456**	**—**	**819,375**	**(182,081)**	**699,750**
Insurance service result	**(1,594,602)**	**—**	**819,375**	**(182,081)**	**(957,308)**
Net finance income/expense from insurance contracts	—	—	101,891	—	101,891
Foreign exchange movements	30,527	—	(44,991)	(1,899)	(16,363)
Total change in the Statement of Income and Comprehensive Income	**(1,564,075)**	**—**	**876,275**	**(183,980)**	**(871,780)**
Investment components	(2,323)	—	2,323	—	—
Transfer to other items in statement of financial position	279,250	—	(337,418)	—	(58,168)

Cash flows					
Premiums received, Net of Acquisition Costs	1,013,583	—	—	—	1,013,583
Claims and other insurance service expenses paid	—	—	(374,671)	—	(374,671)
Total cash flows	**1,013,583**	**—**	**(374,671)**	**—**	**638,912**
Closing assets	—	—	—	—	—
Closing liabilities	(1,823,909)	—	2,549,463	309,667	1,035,221
Net closing liabilities	**(1,823,909)**	**—**	**2,549,463**	**309,667**	**1,035,221**

	Liability for remaining coverage		Net liabilities for incurred claims		
Year to 31 December 2023	LRC excluding loss component	Loss component	Estimates of present value of future cash flows	Risk adjustment for non-financial risk	Total
	$000	$000	$000	$000	$000
Opening assets	—	—	—	—	—
Opening liabilities	(1,289,786)	—	2,728,108	326,744	1,765,066
Net opening balance	**(1,289,786)**	**—**	**2,728,108**	**326,744**	**1,765,066**
Changes in the Statement of Income and Comprehensive Income					
Insurance revenue	(1,629,815)	—	—	—	(1,629,815)
Total insurance revenue	(1,629,815)	—	—	—	(1,629,815)
Insurance service expenses					
Incurred claims and other insurance service expenses	—	—	197,648	269,526	467,174
Amortisation of insurance acquisition cash flows	61,198	—	—	—	61,198
Adjustments for LIC relating to past service	—	—	287,408	(102,511)	184,897
Losses and reversals of losses on on onerous contracts	—	—	—	—	—
Total insurance service expenses	**61,198**	**—**	**485,056**	**167,015**	**713,269**

Insurance service result	**(1,568,617)**	**—**	**485,056**	**167,015**	**(916,546)**
Net finance income/(expenses) from insurance contracts	—	—	101,097	—	101,097
Foreign exchange movements	(6,652)	—	29,444	1,065	23,857
Total change in the Statement of Income and Comprehensive Income	**(1,575,269)**	**—**	**615,597**	**168,080**	**(791,592)**
Investment components	(2,428)	—	2,428	—	
Transfer to other items in statement of financial position	33,212	—	(114,829)	(1,177)	(82,794)
Cash flows					
Premiums received, Net of Acquisition Costs	1,283,927	—	—	—	1,283,927
Claims and other insurance other insurance service expenses paid	—	—	(848,350)	—	(848,350)
Total cash flows	**1,283,927**	**—**	**(848,350)**	**—**	**435,577**
Closing assets	—	—	—	—	—
Closing liabilities	(1,550,344)	—	2,382,954	493,647	1,326,257
Net closing liabilities	**(1,550,344)**	**—**	**2,382,954**	**493,647**	**1,326,257**

Reinsurance contracts

	Asset for remaining coverage		Net liabilities for incurred claims		
Year to 31 December 2024	ARC excluding loss recovery component	Loss component	Estimates of present value of future cash flows	Risk adjustment for non-financial risk	Total
	$000	$000	$000	$000	$000
Opening assets	(426,937)	—	726,684	354,112	653,859
Opening liabilities	—	—	—	—	—
Net opening balance	**(426,937)**	**—**	**726,684**	**354,112**	**653,859**
Changes in the Statement of Income and Comprehensive Income					
Allocation of reinsurance premiums	(440,751)	—	—	—	(440,751)

Amounts recoverable from reinsurers					
Recoveries of incurred claims and other insurance service expenses	—	—	12,320	(356,951)	(344,631)
Adjustments to assets for incurred claims relating to past service	—	—	59,973	196,448	256,421
Effect of changes in non-performance risk of reinsurers	—	—	62	—	62
Total amounts recoverable from reinsurers	**—**	**—**	**72,355**	**(160,503)**	**(88,148)**
Net income/(expenses) from reinsurance contracts held	**(440,751)**	**—**	**72,355**	**(160,503)**	**(528,899)**
Net finance income from reinsurance contracts	—	—	21,307	—	21,307
Foreign exchange movements	13,492	—	(13,931)	47	(392)
Total change in the Statement of Income and Comprehensive Income	**(427,259)**	**—**	**79,731**	**(160,456)**	**(507,984)**
Investment components	(16,713)	—	16,713	—	—
Transfer to other items in statement of financial position	—	—	—	—	—
Cash flows					
Premium paid	551,673	—	—	—	551,673
Amounts received	—	—	(175,880)	—	(175,880)
Total cash flows	551,673	—	(175,880)	—	375,793
Closing assets	(319,236)	—	647,248	193,656	521,668
Closing liabilities	—	—	—	—	—
Net closing balance	**(319,236)**	**—**	**647,248**	**193,656**	**521,668**

	Asset for remaining coverage		Net liabilities for incurred claims		
Year to 31 December 2023	ARC excluding loss recovery component	Loss component	Estimates of present value of future cash flows	Risk adjustment for non-financial risk	Total
	$000	$000	$000	$000	$000
Opening assets	(325,829)	—	1,018,892	260,937	954,000
Opening liabilities	—	—	—	—	—
Net opening balance	**(325,829)**	**—**	**1,018,892**	**260,937**	**954,000**
Changes in the Statement of Income and Comprehensive Income					
Allocation of reinsurance premiums	(470,389)	—	—	—	(470,389)
Amounts recoverable from reinsurers					
Recoveries of incurred claims and other insurance service expenses	—	—	(278,013)	175,645	(102,368)
Adjustments to assets for incurred claims relating to past service	—	—	184,807	(79,713)	105,094
Effect of changes in non-performance risk of reinsurers	—	—	1,714	—	1,714
Total amounts recoverable from reinsurers	**—**	**—**	**(91,492)**	**95,932**	**4,440**
Net expense from reinsurance contracts held	**(470,389)**	**—**	**(91,492)**	**95,932**	**(465,949)**
Net income/(expenses) from reinsurance contracts					
Net finance income from reinsurance contracts	—	—	26,192	—	26,192
Foreign exchange movements	(1,113)	—	1,029	(2,533)	(2,617)
Total change in the Statement of Income and Comprehensive Income	**(471,502)**	**—**	**(64,271)**	**93,399**	**(442,374)**
Investment components	(16,371)	—	16,371	—	—

Transfer to other items in statement of financial position	—	—	(27,956)	(224)	(28,180)
Cash flows					
Premium paid	386,765	—	—	—	386,765
Amounts received	—	—	(216,352)	—	(216,352)
Total cash flows	386,765	—	(216,352)	—	170,413
Closing assets	(426,937)	—	726,684	354,112	653,859
Closing liabilities	—	—	—	—	—
Net closing balance	**(426,937)**	**—**	**726,684**	**354,112**	**653,859**

(b) Claims development tables

The development of reinsurance liabilities provides a measure of the Company's ability to estimate the ultimate value of claims. The Company analyses actual claims development compared with previous estimates on an accident year basis.

The top of each table illustrates how estimates of ultimate claim costs for each accident year have changed at successive year ends and the bottom reconciles the cumulative claim costs to the amounts still recognised as liabilities.

For incurred and paid accident year claims denominated in foreign currency, the Company has revalued using the current period end exchange rate

The Company has not disclosed previously unpublished information about claims developments that occurred earlier than 5 years before the end of the annual reporting period in which it first applies IFRS 17 i.e., 1 January 2023.

The following loss triangles are presented in thousands of U.S. dollars:

Gross Loss

Accident Year	2020 $000	2021 $000	2022 $000	2023 $000	2024 $000	Total $000
Estimate of ultimate claims costs as adjusted for foreign exchange*						
at end of accident year:	1,478,146	1,184,686	1,302,376	861,729	1,020,526	5,847,463
one period later	1,385,188	1,185,394	1,284,253	830,872		4,685,707
two periods later	1,319,097	1,111,316	1,059,692			3,490,105
three periods later	1,253,963	1,048,554				2,302,517
four periods later	1,234,366					1,234,366
Current estimate of cumulative claims	1,234,366	1,048,554	1,059,692	830,872	1,020,526	5,194,010
Cumulative payments to date	(895,089)	(655,596)	(491,497)	(162,651)	(45,285)	(2,250,118)
Total Gross Reserves	339,277	392,958	568,195	668,221	975,241	2,943,892
Total Gross Reserves on prior accident years						97,478
Effect of discounting						(182,230)
Total Gross Reserves						**2,859,140**

Net Loss

Accident Year	2020 $000	2021 $000	2022 $000	2023 $000	2024 $000	Total $000
Estimate of ultimate claims costs as adjusted for foreign exchange*						
at end of accident year:	1,086,957	887,305	794,751	726,823	819,329	4,315,165
one period later	1,033,827	814,476	789,725	694,395	—	3,332,423
two periods later	998,356	769,129	757,976	—	—	2,525,461
three periods later	917,479	761,201	—	—	—	1,678,680
four periods later	904,443	—	—	—	—	904,443
Current estimate of cumulative claims	904,443	761,201	757,976	694,395	819,329	3,937,344
Cumulative payments to date	(730,719)	(501,024)	(369,296)	(137,055)	(43,914)	(1,782,008)
Total Net Reserves	173,724	260,177	388,680	557,340	775,415	2,155,336
Total Net Reserves on prior accident years						11,750
Effect of discounting						(148,852)
Total Net Reserves						**2,018,234**

8 Fair value measurements

In accordance with IFRS 13 Fair Value Measurement, the fair value of financial instruments based on a three-level fair value hierarchy that reflects the significance of the inputs used in measuring the fair value, is set out below.

	Level 1	Level 2	Level 3	Total
2024	$000	$000	$000	$000
Financial assets				
Government and government agencies				
U.S.	305,900	34,799	—	340,699
Non-U.S.	89,841	149,559	—	239,400
Corporate securities	7,592	732,367	—	739,959
Asset-backed securities	—	88,098	—	88,098
Mortgage-backed securities - residential	—	18,181	—	18,181
Mortgage-backed securities - commercial	—	6,145	—	6,145
Other investments	—	72,430	84,815	157,245
Total financial assets	403,333	1,101,579	84,815	1,589,727

	Level 1	Level 2	Level 3	Total
2023	$000	$000	$000	$000
Financial assets				
Government and government agencies				
U.S.	376,117	72,716	—	448,832
Non-U.S.	56,402	176,587	—	232,989
Corporate securities	21,233	745,860	—	767,093
Asset-backed securities	—	85,198	—	85,198
Mortgage-backed securities - residential	—	19,711	—	19,711
Mortgage-backed securities - commercial	—	10,458	—	10,458
Other investments	—	75,695	53,849	129,544
Total financial assets	453,752	1,186,225	53,849	1,693,826

The levels of the fair value hierarchy are defined by the standard as follows:

- Level 1: fair values measured using quoted prices (unadjusted) in active markets for identical instruments;
- Level 2: fair values measured using directly or indirectly observable inputs or other similar valuation techniques for which all significant inputs are based on market observable data;
- Level 3: fair values measured using valuation techniques for which significant inputs are not based on market observable data.

The fair values of the Company's financial assets are typically based on prices from numerous independent pricing services. The pricing services used by the investment manager obtain actual transaction prices for securities that have quoted prices in active markets. For those securities which are not actively traded, the pricing services use common market valuation pricing models. Observable inputs used in common market valuation pricing models include, but are not limited to, broker quotes, credit ratings, interest rates and yield curves, prepayment speeds, default rates and other such inputs which are available from market sources. Investments in mutual funds comprise a portfolio of stock investments in trading entities which are invested in various quoted and unquoted investments. The fair value of these investment funds is based on the net asset value of the fund as reported by independent pricing sources or the fund manager.

Included within Level 1 of the fair value hierarchy are certain government bonds, treasury bills and long-term debt which are measured based on quoted prices in active markets.

Level 2 of the hierarchy contains certain government bonds, US government agencies, corporate securities, asset backed securities and mortgage-backed securities and certain commingled funds. The fair value of these assets is based on the prices obtained from independent pricing services, investment managers and investment custodians as discussed above. The Company records the unadjusted price provided and validates the price through a number of methods including a comparison of the prices provided by the investment managers with the investment custodians and the valuation used by external parties to derive fair value. Quoted prices for US government agencies and corporate securities are based on a limited number of transactions for those securities and as such the Company considers these instruments to have similar characteristics to those instruments classified as Level 2. Also included within Level 2 are units held in collective investment vehicles investing in traditional and alternative investment strategies and over-the-counter derivatives.

Level 3 contains an investment in a limited partnership, a segregated portfolio company and private credit funds which have limited observable inputs on which to measure fair value. Fair value is determined to be net asset value for these investments. The effect of changing one or more inputs used in the measurement of fair value of this instrument to another reasonably possible assumption would not be significant.

Private credit funds comprise holdings in funds which, in turn, hold debt investments in private companies that are not quoted on an active market. The fair value of the private credit funds is determined based on the net asset values reported by the investment managers. The underlying loan values, on which the investments are based, are valued by the investment managers using a discounted cash flow model. The inputs to the valuation are cash flows, risk-free rate and a credit spread. The cash flow projections are determined by the loan terms and the risk-free rate is the overnight rate for the issuing currency; these are all observable inputs. The credit spread applied is based on synthetic rating analysis, whereby an equivalent corporate bond rating is assigned to a private loan based on structural analysis of the issuer's statement of financial position and performance since investment. This is an unobservable input but is not deemed to be significant. Given the Company's knowledge of the underlying investments and the size of the Group's investment therein, the Company would not anticipate any material variance between the statements and the final net asset values reported by the investment managers.

In certain cases, the inputs used to measure the fair value of a financial instrument may fall into more than one level within the fair value hierarchy. In this instance, the fair value of the instrument in its entirety is classified based on the lowest level of input that is significant to the fair value measurement.

The Company's policy is to recognise transfers into and transfers out of fair value hierarchy levels at the end of the relevant reporting period during which the transfers are deemed to have occurred.

The following table sets forth a reconciliation of opening and closing balances for financial instruments classified under level 3 of the fair value hierarchy:

	2024	2023
	$000	$000
Balance at January 1	53,849	19,791
Fair value (losses) / gains through profit or loss	(10,190)	3,050
Purchases	43,584	
Sales	(2,428)	(8,706)
Transfer into Level 3	-	59,325
Impairment	-	(19,611)
Balance at December 31	84,815	53,849

9 Loans and Receivables

Loans and receivables are comprised of:

	2024	2023
	$000	$000
Other debtors including related party	68,201	107,444
Receivables for investments sold	3,687	5,744
Accrued interest	17,008	15,278
Total	88,896	128,466

The net amounts expected to be recovered and settled before and after one year, based on historical experience are estimated as follows:

	2024	2023
	$000	$000
Within one year	88,896	128,466
Later than one year	—	—
Total loans and receivables	88,896	128,466

10 Trade and other payables

Trade and other payables are comprised of:

	2024	2023
	$000	$000
Deferred income	178	225
Payable for investments purchased	1,300	2,904
Other payables including related party	19,496	22,971
Total	20,974	26,100

The carrying amounts disclosed above are reasonably approximate to the fair value at the reporting date.

	2024	2023
	$000	$000
Within one year	20,974	26,100
After one year	—	—
Total trade and other payables	20,974	26,100

11 Taxation

	2024	2023
	$000	$000
Current tax		
Expense for the year	—	—
Adjustment in respect of prior years	—	—
Total Current Tax	—	—

	2024	2023
Deferred tax	$000	$000
Expense for the year	738	—
Adjustment in respect of prior years	(2,638)	(150,000)
Total deferred tax	(1,900)	(150,000)

The difference between the total current tax shown above and the amount calculated by applying the corporation tax rate applicable in Bermuda to the profit before tax is as follows:

	2024	2023
	$000	$000
Profit/(Loss) before tax	439,179	489,347
Tax calculated at the standard corporation tax rate applicable to Bermuda of 0% (2023: 0%)	—	—
Effects of Economic Transition Adjustment	738	(150,000)
Adjustment in respect of prior years	(2,638)	—
Total Tax credit	(1,900)	(150,000)

Deferred Tax

	2024	2023
	$000	$000
Deferred tax assets	151,900	150,000
Deferred tax (liabilities)	—	—
Total net deferred tax asset	151,900	150,000

At 1 January:	150,000	—
Income statement (expense)/credit	1,900	150,000
Balance at 31 December	151,900	150,000

In accordance with IAS 12, all deferred tax assets and liabilities are classified as non-current. The amount of deferred tax asset expected to be recovered after more than 12 months is $151.9 million (2023: $150.0 million).
A deferred tax asset of $151.9m (2023: $150.0m) in relation to the Economic Transition Adjustment ("ETA") required by this legislation has been recognised at the statement of financial position date. The ETA requires each taxable entity, which would also have been a taxpayer had the corporate income tax ("CIT") been in effect at 30 September 2023, to adjust the calculation of taxable income on first entering the scope of tax, by replacing the carrying value of certain assets and liabilities on the statement of financial position at 30 September 2023 with the corresponding estimated fair value, creating temporary differences. The principal driver of this temporary difference is the customer relationships intangible asset which is subject to significant judgement and estimates, including forecast cashflows, the discount rate and capital allocation charges.

Factors affecting tax charges in future years

Bermuda has introduced a CIT which was substantively enacted at the statement of financial position date, and will apply at a rate of 15% to profits of certain Bermuda constituent entities with effect from 1 January 2025. The Company expects to be subject to Bermuda CIT. This will have a consequential effect on the Company's future tax charge. The impact of this change in future periods will be dependent on the level of taxable profits in those periods.

130 countries have agreed to implement a new global minimum tax ("GMT") as 'Pillar Two' of the OECD two-Pillar reform framework. The GMT uses adjusted consolidated accounting data to calculate the Effective Tax Rate ("ETR") paid on profits by a multinational in each jurisdiction in which it operates; and then applies a 'top-up tax' on any jurisdictions where the ETR is below 15%.

The Company is a subsidiary of the Hiscox Group ('the Group') which expects to be within the scope of these rules, by virtue of the fact that the Group's consolidated revenue in at least two of the four years prior to 2024 exceeded EUR750m. Multiple jurisdictions in which the Group operates have substantively enacted such legislation ("Pillar Two legislation") before the statement of financial position date. This legislation brings into effect the Income Inclusion Rule" ("IIR") and Qualified Domestic Minimum Top-Up Tax ("QDMTT") from 2024, and the Undertaxed Profits Rule ("UPR") from 2025. The Company does not

expect to be impacted by IIR and QDMTT legislation; nor, in light of the introduction of Bermuda CIT in 2025, does the company expect to be materially impacted by UPR.

In January 2025, the OECD published new Guidance on the interpretation of the Pillar Two income tax model rules, which advises that deferred tax assets recognised by Bermuda companies as a result of the ETA should only be creditable for top-up tax purposes until the end of 2026. Should this Guidance be substantively enacted into legislation in future periods, the Group expects a corresponding tax liability to arise equivalent to 80% of the value of the ETA, spread over eight years, from 2027. Under the existing IAS12 exception for disclosing information about deferred tax impacts of Pillar Two taxes, however, this would not be recognised as deferred tax but would instead increase the Group's effective tax rate in future periods. There is currently no implication for the Company due to the new OECD guidance, as it continues to follow the legislated rules under Bermuda CIT which allow for the full tax deduction to be made for ETA.

12 Financial assets and liabilities

Financial assets designated at FVPL are measured at fair values, with all changes from one accounting period to the next being recorded through the Statement of Income and Comprehensive Income.

	2024	2023
	$000	$000
Debt and fixed income securities	1,517,216	1,624,915
Equities and shares in unit trusts	72,511	68,911
Total financial assets carried at fair value	1,589,727	1,693,826

The effective maturity of debt and fixed income holdings due within and after one year are as follows:

	2024	2023
	$000	$000
Within one year	510,685	571,613
After one year	1,006,531	1,053,302
Total debt and fixed income holdings	1,517,216	1,624,915

The Company's equities and investment funds and other non-dated instruments have no contractual maturity terms but could also be liquidated in an orderly manner for cash in a prompt and reasonable time frame within one year of the Statement of Financial Position date.

Investments at 31 December are denominated in the following currencies at fair value:

	2024	2023
	$000	$000
Debt and fixed income holdings		
US Dollars	1,147,616	1,315,798
Sterling	293,934	309,117
Euro	75,666	—
	1,517,216	1,624,915
Equities and investment funds		
US Dollars	72,511	68,911
Sterling	—	—
	72,511	68,911
Total investments	1,589,727	1,693,826

13 Related-party transactions

The Company enters into reinsurance and retrocession agreements with affiliates. The financial statements include the following amounts which are attributable to reinsurance assumed and retrocession related party transactions:

	2024	2023
	$000	$000
Insurance revenue	1,052,135	1,040,551
Insurance service expense	(566,058)	(584,184)
Net finance income (expenses) from insurance contracts	(79,374)	(78,496)
Allocation of reinsurance premiums	(296,442)	(362,609)
Recoverable from reinsurers for incurred claims	(81,414)	40,418
Net finance income (expenses) from reinsurance contacts	17,265	20,817
Investment result	19,533	23,151
Insurance contract liabilities	286,238	459,143
Reinsurance contract assets	397,231	482,457

During 2024, the Company maintained assets in trust accounts to collateralise obligations under various related party reinsurance agreements. Cash and marketable securities with an approximate market value of $760m (2023: $1,041.0m) were held in trust in respect of internal quota share arrangements.

Reinsurance contract assets from related parties is primarily due from an ILS fund that is managed by an affiliate.

The Company entered into various service agreements with Hiscox Underwriting Group Services Limited ("HUGS") and Hiscox Services Ltd. ("HSL"). HUGS and HSL are wholly owned subsidiaries of Hiscox Ltd. The service agreements with HUGS cover group wide investment management services, claims and legal services, human resources, IT, actuarial, accounting and other general corporate services, modeling services and outwards reinsurance administration services. The service agreements with HSL cover Bermuda general expenses as well as support services such as underwriting, modeling, outwards reinsurance administration, human resources, operations, claims and accounting services.

Transactions and balances with HUGS and HSL have been recorded in the financial statements as follows:

	2024	2023
	$000	$000
HUGS:		
Trade and other payables	3,695	7,630
Operational expense	(3,005)	(2,643)
Insurance service expense	(17,130)	(17,400)
Investment result	(120)	(153)
Other finance costs	(58)	(32)
HSL:		
Loans and receivables	25,706	13,622
Insurance service expense	(41,366)	(37,361)
Investment result	(1,905)	(2,217)
Operational expense	(791)	(719)
Other finance cost	(1,475)	(718)

Non-reinsurance related party balances with other Hiscox affiliates have been recorded in the financial statements as follows:

	2024	2023
	$000	$000
Loans and receivables	8,990	14,249
Trade and other payables	1,519	1,107
Other attributable expenses	351	209

The expense recognised during the year for the fair value of equity awards made to employees of the Company in the form of share options in the parent company, Hiscox Ltd, is $6.4m (2023: $5.3m).

14 Commitments and security arrangements

The letter of credit facilities held by the Company as at 31 December 2024 and 2023 are as follows:

	2024	2023
	$000	$000
Citibank	125,000	125,000
Commerzbank	225,000	225,000
National Australia Bank	45,000	120,000
Total	395,000	470,000

Collectively, the secured facility agreements allow the Company to request the issuance of up to $395.0m (2023: $470.0m) in letters of credit. At 31 December 2024, $205.1m (2023: $207.0m) in letters of credit were issued under these facilities, collateralised by cash, U.S. government and corporate securities with a fair value of $251.2m (2023: $233.9m).

During 2024, the Company maintained assets in trust accounts to collateralise obligations under various reinsurance agreements. At 31 December 2024, $543.7m (2023: $558.1m) of marketable securities and $24.4m (2023: $13.4m) of cash were restricted as collateral within various Letter of Credit and trust accounts. The Company also provide assets under a Security and Trust Deed charged to Lloyd's of London, to meet any liabilities that occur from their interest in Syndicates 33 and 3624. At 31 December 2024, the Company held $218.2m of investments (2023: $409.3m), and $20.5m of cash (2023: $96.7m) in favour of Lloyd's of London under this arrangement.

Hiscox Plc, a company related by common control, has a letter of credit and revolving credit facility with Lloyds Banking Group, as agent for a syndicate of banks, which may be drawn in cash up to $650.0m (2023: $600.0m) under a revolving credit facility or LOC up to $266.0m (2023: $266.0m). In addition, the terms also provide that upon request the facility may be drawn in a currency other than US Dollars. At 31 December 2024, $266.0m (2023: $266.0m) was utilised by way of LOC to support the Funds at Lloyd's requirement and $nil cash drawings were outstanding (2023: $nil). The borrower for this letter of credit is initially responsible for repaying the banks for any amounts drawn. However, the facility is guaranteed by Hiscox Ltd and other affiliated companies, including the Company. This guarantee entitles the banks to pursue any of these entities for any sums due. In addition, the banks have share pledges over the shares of Hiscox Insurance Company Limited, an affiliate company, and the Company which can be called in the circumstance of a payment default.

The Company has given an undertaking to provide up to $115.0m in private credit funds (2023: $nil). The total commitment is $115.0m and the amount that remains undrawn is $71.4m as at 31 December 2024.

15 Shareholder's equity

The items "common shares" and "contributed surplus" represent amounts paid or contributed by the Parent and retained earnings consist of accumulated reinvested net income generated by the Company. Any adjustment from a retrospective change in accounting policies affecting prior periods are recognised in the opening value of retained earnings in the Statement of Financial Position. For distribution restrictions, please refer to Note 16.

In February and April 2024, dividends of $290m and $100m respectively were declared and paid to Hiscox Ltd.

16 Statutory requirements

As a Class 4 insurer, the Company must at all times maintain a solvency margin and an enhanced capital requirement in accordance with the provisions of The Insurance Act 1978. Each year the Company is required to file with the Bermuda Monetary Authority (the "Authority") a capital and solvency return within four months of its relevant financial year end (unless specifically extended).

The prescribed form of capital and solvency return comprises the insurer's Bermuda Solvency Capital Requirement ("BSCR") model, a schedule of fixed income investments by rating category, a schedule of net loss and loss expense provision by line of business, a schedule of premiums written by line of business, a schedule of risk management and a schedule of fixed income securities by security type. The BSCR includes a standardised model used to measure the risk associated with an insurer's assets, liabilities and

premiums, and a formula to take account of catastrophe risk exposure. The Authority has provided for the use of pre-approved internally developed company models in lieu of the standardised BSCR. The Authority requires all Class 4 insurers to maintain their capital at a target level which is 120% of the amount calculated in accordance with the BSCR or the company's approved internal model (the Enhanced Capital Requirement or "ECR"). In addition, the Company is required to maintain a minimum solvency margin. Both requirements have been met.

Statutory capital and surplus at 31 December 2024, as determined using statutory accounting principles, was $1,786.2m (2023: $1,585.0m). At 31 December 2024, the Company's minimum capital requirement was $718.5m (2023: $770.0m).

The Insurance Act 1978 also requires an insurer engaged in general business to maintain the value of its relevant assets at not less than 75% of the amount of its relevant liabilities. Relevant assets include cash and time deposits, quoted investments, unquoted bonds and debentures, first liens on real estate, investment income due and accrued, accounts and premiums receivable, reinsurance balances receivable and funds held by ceding reinsurers. There are certain categories of assets which, unless specifically permitted by the Authority, do not automatically qualify as relevant assets, such as unquoted equity securities, investments in and advances to affiliates and real estate and collateral loans. The relevant liabilities are total general business insurance reserves and total other liabilities less deferred income tax, sundry liabilities (by interpretation, those not specifically defined) and, letters of credit, guarantees and other instruments. The minimum liquidity ratio has been met.

The Company is prohibited from declaring or paying a dividend if its Class 4 statutory capital and surplus is less than its ECR, or if it is in breach of its solvency margin or minimum liquidity ratio, or if the declaration or payment of such dividend would cause such breach. Further, the Company, as a Class 4 insurer, is prohibited from declaring or paying in any year dividends of more than 25% of its total statutory capital and surplus as shown on its previous year's statutory Statement of Financial Position unless it files (at least seven days before payment of such dividends) with the Authority an affidavit stating that it will continue to meet its solvency margin and minimum liquidity ratio. As of 31 December 2024, the Company could pay dividends of $446.6m (2023: $396.3m) without providing an affidavit to the Authority.

The Company must obtain the Authority's prior approval for a reduction by 15% or more of the total statutory capital as set forth in its previous year's statutory financial statements. These restrictions on declaring or paying dividends and distributions under the Insurance Act are in addition to those under the Companies Act 1981, which apply to all Bermuda companies.

17 Subsequent events

Subsequent events have been evaluated up to and including 29 April 2025, being the date that these financial statements were available to be issued.

In January 2025, significant wildfires occurred in the Los Angeles area, resulting in extensive damage to properties and infrastructure. These wildfires, which began on January 25, 2025, burned thousands of acres and destroyed numerous structures. At 31 March 2025, a net loss of $133.7 million has been booked in HIB for this event. As these wildfires occurred after the reporting period, they are classified as non-adjusting events under IAS 10 "Events after the Reporting Period." Consequently, no adjustments have been made to the financial statements for the year ended December 31, 2024.

A dividend of $435.0m to Hiscox Ltd. was declared on 6 February 2024 and was fully paid on 8th April 2025.